PRIMARY RESIDENCE – PURCHASE AND RATE /TERM REFINANCE				
Property Type	**Minimum LTV**	**Maximum LTV/CLTV/HCLTV**	**Minimum Credit Score**	**Maximum Loan Amount**
1-Unit Warrantable Condo PUD	80.01%	97%	680	$850,000
	80.01%	95%	700	$1,000,000
	80.01%	90%	720	$1,500,000

PROGRAM SUMMARY

Adjustable rate, fully amortizing, first lien mortgage loan program.

PRODUCTS OFFERED

Product Name	Term	ARM Disclosure
Doctor 5/6 SOFR ARM	30 years	Doc. #3383 or Equivalent
Doctor 7/6 SOFR ARM	30 years	Doc. #3384 or Equivalent
Doctor 10/6 SOFR ARM	30 years	

LOAN AMOUNTS

MAXIMUM
$1,500,000

UNDERWRITING

See below for product specific criteria. All additional guidelines not addressed below must meet the parameters documented in the *Non-Agency Underwriting Guidelines*. Product specific criteria may vary from the guidelines only as indicated below.

Fourth Party Origination is not eligible.

ELIGIBLE BORROWERS

At least one borrower must hold one of, and supply, the following valid license types:

- Medical Resident (Educational License)
- Medical Doctor (MD)
- Doctor of Dental Surgery (DDS)
- Doctor of Dental Medicine (DMD)
- Doctor of Optometry (OD)
- Doctor of Ophthalmology (MD)
- Doctor of Pharmacy (PharmD)
- Doctor of Podiatric Medicine (DPM)
- Doctor of Osteopathy (DO)
- Doctor of Veterinary Medicine (DVM)
- Physician Assistant

- Registered Nurse
- Nurse Anesthetist
- Nurse Practitioner
- Clinical Nurse Specialist
- At least one occupying borrower must provide proof of a valid license within one of the approved medical fields listed and meet the following requirements:
  - Borrower must be within 10 years of the start of their profession.
  - For Medical Doctors, the borrower must be an active medical resident (generally residency is completed within 3-5 years and up to 7 years for specialty fields) or be within the first 10 years of the start of their profession. The 10- year time period is measured from the completion date of their residency.
  - The borrower must be actively engaged in the eligible profession (e.g., an MD teaching as a professor and not actively practicing is not eligible).
- All borrower(s) may only have one outstanding Professional or Doctor loan with Flagstar Bank at any given time.
- All borrower(s) may have no other second homes or investment properties financed with Flagstar Bank, at time of closing.
- The total number of financed properties held by all borrowers cannot exceed four.

INELIGIBLE BORROWERS

- All trusts

ELIGIBLE PROPERTY TYPES

- 1 unit properties
- Fannie Mae warrantable condominiums
- Planned unit developments (PUDs)
- Modular homes

MINIMUM CREDIT SCORES

Refer to Eligibility Grid above.

QUALIFYING RATE

5/6 ARM	Greater of fully-indexed or note rate plus 2%
7/6 ARM & 10/6 ARM	Greater of fully-indexed or note rate

QUALIFYING RATIOS

Maximum DTI is 45%

For borrowers with student loan debt, if the student loan is deferred for at least 12 months from the application date, the DTI may exceed 45% up to a maximum of 50%. The borrower must qualify using a payment equal to 1% of the outstanding balance on the student loans. The max DTI of 45% may only be exceeded due to the payments on the deferred student loan debt.

RESERVES

Loan Amount	Required Reserves[1]
Up to $850,000	3 months, verified PITIA
$850,001 - $1,500,000	6 months, verified PITIA

1. When borrowers have financed properties in addition to the subject property, an additional 6 months PITIA reserves are required for each property.

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or any other party with an interest in the real estate transaction. Interested party contributions may be used exclusively to cover closing costs and prepaid expenses.

INTERESTED PARTY CONTRIBUTION LIMITS		
CLTV	Up to 90%	Up to 97%
Primary Residence	Maximum 6%	Maximum 3%

MINIMUM BORROWER CONTRIBUTIONS

Borrower must contribute at least 3% toward the transaction from their own funds to the transaction. Remaining funds may come from a gift per the Non-Agency Underwriting Guidelines, an acceptable FNMA eligible *Community Seconds Programs*, Doc. #5932 or an approved *Gift/Grant Programs*, Doc. #5935.

APPRAISAL REQUIREMENTS

All appraisals will be reviewed by the Appraisal Review Department.

Loan Amount	Appraisal Requirement
Up to $1,000,000	One Full Appraisal
Greater than $1,000,000	One Full Appraisal and a Field Review; or Two Full Appraisals

MORTGAGE INSURANCE

Loans are underwritten by one of the approved mortgage insurance companies. Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details.

STANDARD MORTGAGE INSURANCE GUIDELINES

All loans require mortgage insurance coverage according to the following guidelines.

LTV	Coverage Requirement
95.01 – 97%	35%
90.01 – 95%	30%
85.01 – 90%	25%
80.01 – 85%	12%

NEW YORK PROPERTIES

See *Non-Agency Underwriting Guidelines*.

For Single Financed Mortgage Insurance (SFMI) and Lender Paid Mortgage Insurance (LPMI) eligibility see *Single Financed Mortgage Insurance – Lender Paid Mortgage Insurance*, Doc. #5010.

TEXAS REFINANCE LOANS

Loans that fall under Section 50(a)6 are not eligible.

STATE ELIGIBILITY

Available in the following states/territories with restrictions. States/territories not listed are available without restrictions.

State	Restriction
Puerto Rico	Ineligible
Virgin Islands	Ineligible

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	5/6 ARM Initial – 2% up/down; Subsequent – 1% up/down; Lifetime – 5% up
	7/6 ARM Initial – 5% up/down; Subsequent – 1% up/down; Lifetime – 5% up
	10/6 ARM Initial – 5% up/down; Subsequent – 1% up/down; Lifetime – 5% up
Margin	See *Price Indication Sheet*
Index	30 Day Average SOFR (Secured Overnight Financing Rate)
Interest Rate Floor	The interest rate floor is equal to the margin
Change Dates	5/6: The first change date is the 60th payment due date. There is a new change date every 6 months thereafter.
	7/6: The first change date is the 84th payment due date. There is a new change date every 6 months thereafter.
	10/6: The first change date is the 120th payment due date. There is a new change date every 6 months thereafter.

Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing docs may be ordered through Flagstar's Web-Based Closing Docs (WBCD) service available on Loantrac.

ALL LOANS:

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series
- Fannie Mae Note 3442
- Fannie Mae Rider 3142
- Standard title commitment with all applicable endorsements

IF APPLICABLE:

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form #3140
- Fannie Mae/Freddie Mac multi-state PUD Rider, Form #3150